



The Rise and Fall of Paytm Payments Bank

Case Study

This case was written by **Rachna Agarwal** and reviewed by **Dr. A. Saravanan Naidu**, Amity Research Centers Headquarter, Bangalore. It is intended to be used as the basis for class discussion rather than to illustrate either effective or ineffective handling of a management situation. The case was compiled from published sources.

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*"We are taking a bet on payment banks. Paytm is an innovative firm and innovative firms are not always comfortable with the regulators. But we want to see where they push the system and so they have a payments bank licence. For a number of years, we have been saying that a banking revolution is needed. The revolution is upon us today."*¹

– Raghuram Rajan²

*"Compliance has been the cornerstone of our product development initiatives from the very beginning. We cannot take products to the market without obtaining the necessary approvals while ensuring every new offering is both innovative and in full compliance with regulatory standards."*³

– Paytm

*"Startups are inherently designed to exploit grey areas to scale rapidly. Excessive compliance greatly hinders their growth potential. In the fintech sector, a significant portion of the capital injected into companies to fuel rapid expansion and market capture has unfortunately been squandered due to certain RBI policies rendering their operations unviable or untenable from an investor perspective."*⁴

– Nikhil Pahwa⁵

In 2014, India faced a daunting challenge as half of its population lacked banking access and financial security. To combat this, the Nachiket Mor committee⁶ introduced differentiated banking licenses, paving the way for payment banks and small finance banks. These

¹ JC Anand, "Paytm Crisis: When Raghuram Rajan bet on the payments bank plan to test innovation boundaries", <https://economictimes.indiatimes.com/industry/banking/finance/banking/paytm-crisis-when-raghuram-rajan-bet-on-the-payments-bank-plan-to-test-innovation-boundaries/articleshow/107420745.cms?from=mdr>, February 6th 2024

² He was a Former Governor of Reserve Bank of India, the country's central bank.

³ Gordon Nicholas, "The rise and stunning fall of Paytm, which once had India's largest IPO but is now the target of a central bank crackdown that could kill its business", <https://finance.yahoo.com/news/rise-stunning-fall-paytm-once-030500129.html>, March 10th 2024

⁴ Anupam Suprita, "RBI Vs Paytm Payments Bank: Shockwaves In India's Fintech Ecosystem", <https://inc42.com/features/rbi-vs-paytm-payments-bank-shockwaves-in-indias-fintech-ecosystem/>, February 19th 2024

⁵ He is a tech policy expert and the founder of the news platform MediaNama.

⁶ In September 2013, the RBI established the 'Committee on Comprehensive Financial Services for Small Businesses and Low-Income Households', which Nachiket Mor, a member of the RBI board, served as Chairman.

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institutions aimed to cater underserved segment and enhance financial inclusivity^{7,8} by separating lending and payment activities. Initially, the Reserve Bank of India⁹ (RBI) approved 11 Payment Banks, with only six remaining operational, including 'Airtel, Paytm, Fino, India Post, Jio, and NSDL Payments Bank'. Fino and NSDL led the Micro ATMs, while Paytm dominated the PoS and e-commerce.

However, controversies plagued the Indian Payment bank landscape,¹⁰ the trend again resurfaced in January 2024 when RBI delivered a staggering blow to the India's most celebrated fintech giant, Paytm Payments Bank (PPB), halting its operations due to non-compliance and supervisory concerns. This unexpected development not only caught Paytm off guard but also reverberated throughout the Indian fintech landscape. Despite initial success,¹¹ these events raised doubts about PPB's survival and Paytm's future. Uncertainty prevailed, leaving questions about Paytm's ability to address compliance issues and restore stakeholder trust.¹²

Paytm Payments Bank: The Evolution and Growth

In 2010, Vijay Shekhar Sharma (Sharma) embarked on a journey to transform India's digital landscape with the inception of Paytm, fuelled by an initial investment of \$2 million under One97 Communications Limited (OCL). The name, Paytm, resonated with its core concept of 'pay through mobile' (**Exhibit I**). Initially, it focussed on prepaid mobile and DTH recharge services, gradually included data card and postpaid mobile services along with a payment gateway and landline bill payments.^{13,14} The pivotal moment came in 2014 with the introduction of its mobile wallet, swiftly emerging as India's foremost digital wallet.

Innovations like QR code transactions and in-app bill payments solidified Paytm's position as a trailblazer in digital transactions.¹⁵ With an eye towards e-commerce, Paytm offered ticket bookings and online deals.¹⁶ The digital app witnessed exponential growth in its user base from August 2014 to August 2015, soaring from 11.8 million to 104 million registered users. Notably, its travel business also achieved a significant milestone, crossing \$500 million annualised GMV run rate.¹⁷ Paytm spearheaded the digital payment revolution, predating India's surge in

⁷ "Banking on new technology", <https://indianexpress.com/article/business/banking-and-finance/banking-on-new-technology/>, March 10th 2014

⁸ Ghosh Shayan, "Paytm bank is in a state of suspended animation. So, What's next?", <https://www.livemint.com/companies/paytms-bank-is-in-a-state-of-suspended-animation-so-what-s-next-11710419941288.html>, March 14th 2024

⁹ The Reserve Bank of India, abbreviated as RBI, is India's central bank and regulatory body responsible for regulation of the Indian banking system.

¹⁰ Kulkarni Lalitagauri, "Paytm payments bank controversy: Unpacking regulatory challenges in India's payment banking landscape", <https://timesofindia.indiatimes.com/blogs/voices/paytm-payments-bank-controversy-unpacking-regulatory-challenges-in-indias-payment-banking-landscape/>, February 14th 2024

¹¹ "RBI Vs Paytm Payments Bank: Shockwaves In India's Fintech Ecosystem", op.cit.

¹² "Paytm bank is in a state of suspended animation. So, What's next?", op.cit.

¹³ ibid

¹⁴ Vijayakumar N V, "Paytm confirms Warren Buffet's bid to buy stakes", <https://www.deccanherald.com/business/paytm-all-set-get-warren-689775.html>, August 28th 2018

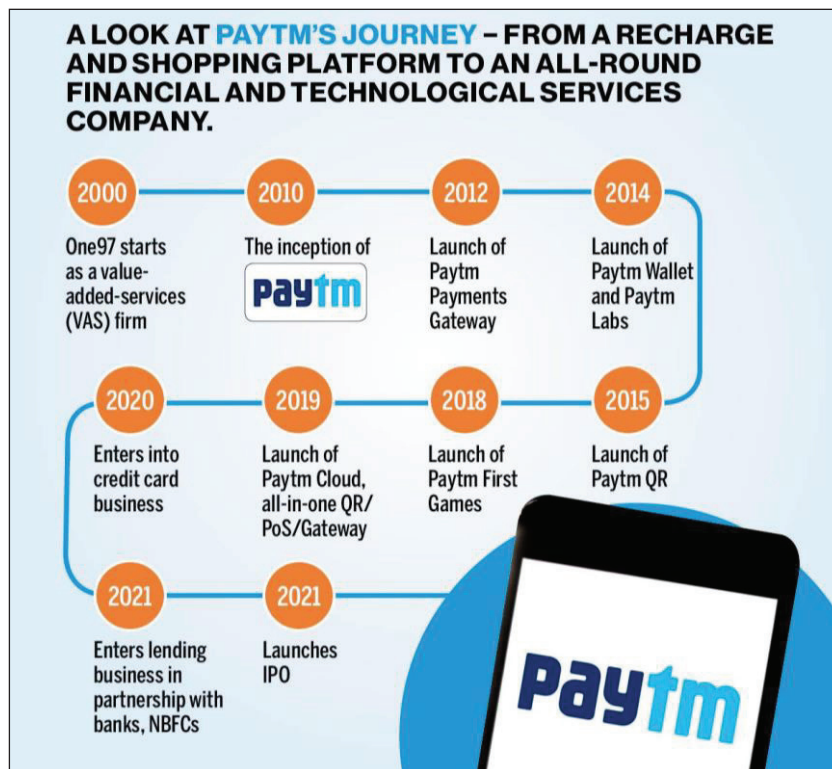
¹⁵ "Paytm bank is in a state of suspended animation. So, What's next?", op.cit.

¹⁶ "Paytm's journey: From payments app to a fintech and now - Dalal Street", <https://www.businesstoday.in/latest/in-focus/story/paytms-journey-from-payments-app-to-a-fintech-and-now-dalal-street-312600-2021-11-18>, November 18th 2021

¹⁷ "PAYTM: A Startup That Sowed The Seeds Of A Cashless Economy", <https://startupstorymedia.com/the-review-2021-09-paytm-startup-story/>, September 5th 2021

payment innovations with the introduction of the Unified Payments Interface (UPI) in 2016,¹⁸ which proved exceptionally successful.¹⁹

Exhibit I
Evolution of Paytm as a Fintech Firm



Source: “Paytm’s journey: From payments app to a fintech and now - Dalal Street”, <https://www.businesstoday.in/latest/in-focus/story/paytms-journey-from-payments-app-to-a-fintech-and-now-dalal-street-312600-2021-11-18>, November 18th 2021

Amidst Paytm’s burgeoning success, the vision for Paytm Payments Bank (PPB) took shape towards the end of 2016. Just days before the monumental demonetisation announcement²⁰, Paytm’s board greenlit a contract with its parent company, OCL, outlining essential services required for the bank’s operations such as physical premises, technology support, data analytics, electrical infrastructure, and power backup. However, regulatory concerns lingered, particularly regarding the bank’s reliance on OCL’s infrastructure, prompting scrutiny from the RBI over data privacy. The board emphasised, “The contract entered into is on arm’s length basis.”²¹

Then came November 2016, a watershed moment with the Indian Government’s demonetisation moves.²² Leveraging this opportunity, Paytm swiftly transitioned into a ubiquitous cashless transaction platform, setting the stage for PPB’s eventual launch in May

¹⁸ “Paytm bank is in a state of suspended animation. So, What’s next?”, op.cit.

¹⁹ Sankranti Shashwat, “Flashback Friday: Pioneering the e-wallet ecosystem – The story of Paytm”, <https://www.wionews.com/business-economy/flashback-friday-pioneering-the-e-wallet-ecosystem-the-story-of-paytm-624471>, August 11th 2023

²⁰ Demonetisation took place on November 8th 2016. The Government of India announced the demonetisation of all `500 and `1,000 banknotes to curb black money.

²¹ “Paytm bank is in a state of suspended animation. So, What’s next?”, op.cit.

²² “Paytm’s journey: From payments app to a fintech and now - Dalal Street”, op.cit.

2017.²³ Clarifications from an OCL spokesperson shed light on the preceding agreement, stated, “This agreement was before the establishment of the bank. It was in operation for a few months after the payments bank’s launch and later, it was dissolved gradually to meet RBI guidelines.”²⁴ PPB was established as an affiliate of OCL retaining 49%, with Sharma at the helm holding the remaining 51%,²⁵ steering the company towards a future of seamless mobile transactions. Inspired by Alibaba’s mobile-centric model, the digital bank offered a comprehensive suite of services ranging from savings and current accounts to fixed deposits and transactional services like payment wallets, UPI, and FASTag^{26, 27}

Amidst the launch, Paytm experienced a 200% surge in downloads and a tenfold increase in wallet deposits. Within a year of demonetisation announcement, the user base surged from 140 million to 270 million. This rapid growth was further fuelled by the company’s strategic marketing and branding efforts, capitalising on the demand for cashless transactions.²⁸ After the announcement, Paytm strategically placed front-page advertisements in leading newspapers, applauding the Government’s decision. There was no turning back for Sharma, Paytm became household name and synonym for digital payments.²⁹ ‘Paytm Karo’ emerged as the iconic tagline during the demonetisation era, symbolising online shopping for every Indian.³⁰

Expanding its service portfolio, Paytm included ‘ticketing for movies and flights, gold sales, insurance, bank deposits, and remittances’.³¹ **(Exhibit II).** In 2018, the company entered into the online gold business, introducing the gold savings plan and gold gifting for long-term savings. The same year observed the inception Gamepind, a joint venture with Alibaba Group and AGTech Holdings, later rebranded as Paytm First Games. Additionally, Paytm partnered with Citibank and Tata Starbucks in 2019 and 2020 respectively, further diversifying Paytm’s offerings.

Paytm emerged as a beacon, attracting the gaze of numerous investors like Chinese e-commerce titan Ant Financial Services Group (an affiliate of Alibaba Group). Mountain Capital (an investment arm of Taiwan-based MediaTek) also invested \$5 billion. Paytm’s trajectory soar even higher when SoftBank Vision Fund stepped in, becoming the largest single investor, catapulted its valuation to a staggering \$10 billion, marking a significant milestone in its journey. Not content with resting on its laurels, in 2018, Berkshire Hathaway invested \$356 million for a 3-4% stake, followed by a \$1 billion investment from US asset manager, T Rowe Price.³² Sharma remarked, “We now probably have the most long-term, large capital on any company’s capitalisation table in India.”³³

²³ “The controversial journey of Paytm”, <https://www.dezerv.in/newsletter/controversial-journey-paytm/>

²⁴ “Paytm bank is in a state of suspended animation. So, What’s next?”, op.cit.

²⁵ “Paytm Crisis: When Raghuram Rajan bet on the payments bank plan to test innovation boundaries”, op.cit.

²⁶ An electronic toll collection system.

²⁷ “Paytm Payments Bank: The controversies and challenges ahead for India’s fintech poster boy”, <https://economictimes.indiatimes.com/news/economy/finance/explainer-paytm-payments-bank-meltdown-its-meaning/articleshow/107402188.cms?from=mdr>, February 4th 2024

²⁸ “The controversial journey of Paytm”, op.cit.

²⁹ “Paytm bank is in a state of suspended animation. So, What’s next?”, op.cit.

³⁰ “The controversial journey of Paytm”, op.cit.

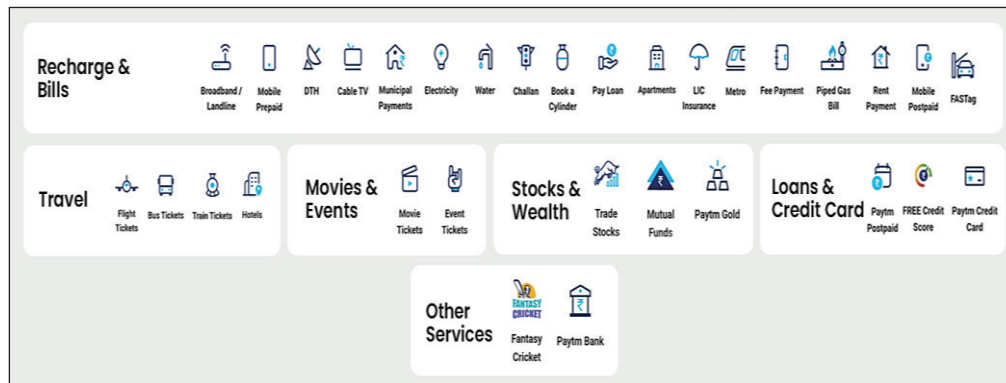
³¹ “Flashback Friday: Pioneering the e-wallet ecosystem – The story of Paytm”, op.cit.

³² “PAYTM: A Startup That Sowed The Seeds Of A Cashless Economy”, op.cit.

³³ Chanchani Madhav and Variyar Mugdha, “Paytm raises \$1.4 billion from Softbank, valuation jumps to over \$8 billion”, <https://economictimes.indiatimes.com/small-biz/money/paytm-raises-1-4-billion-from-softbank-valuation-jumps-to-over-8-billion/articleshow/58733667.cms>, May 19th 2017

Exhibit II

Business Verticals and Offerings of Paytm



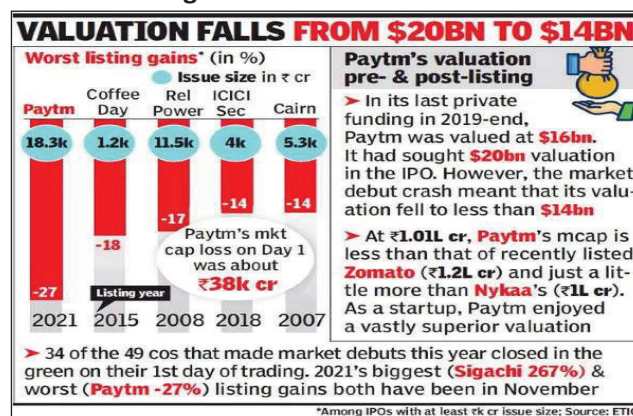
Source: "The controversial journey of Paytm",
<https://www.dezerv.in/newsletter/controversial-journey-paytm/>

Paytm became the first payment app in India to reach 100 million downloads in 2017, with its user base growing to 150 million active users and registering 1.2 billion transactions by March 2021. With a 15% month-over-month growth, the payments giant secured the largest market share in offline merchant payments by 2023,³⁴ 'boasting over 333 million registered users and processing over 1.5 billion transactions monthly'.³⁵

Continuing its upward trajectory, in 2021, Paytm's record-breaking IPO marked a monumental milestone in India's financial history, surpassing a market cap of \$12 billion and reaching \$14 billion.³⁶ (Exhibit III). However, the excitement was short-lived as OCL shares debuted at a discounted price, causing the firm's market cap to plummet to around ₹1 trillion.³⁷ This unexpected turn was Paytm's first major setback, as its highly anticipated IPO faltered. The stock valued at ₹353.2 in March 2024 was far below the listing price, wiping out ₹787.49 billion investors' money since the listing.³⁸

Exhibit III

The listing of One 97 Communications IPO



Source: "Paytm's 27% crash on debut worst among IPOs over Rs 1k crore",
<https://timesofindia.indiatimes.com/business/india-business/paytms-27-crash-on-debut-worst-among-ipos-overrs-1k-crore/articleshow/87790783.cms>, November 19th 2021

³⁴ "Flashback Friday: Pioneering the e-wallet ecosystem – The story of Paytm", op.cit.

³⁵ "Paytm: the Rise and Fall of a Fintech Giant (But Not Its Complete Shutdown)",
<https://www.linkedin.com/pulse/paytm-rise-fall-fintech-giant-its-complete-shutdown-pollpein-zsfpc/>, February 2nd 2024

³⁶ "Flashback Friday: Pioneering the e-wallet ecosystem – The story of Paytm", op.cit.

³⁷ "Paytm's journey: From payments app to a fintech and now - Dalal Street", op.cit.

³⁸ "Paytm bank is in a state of suspended animation. So, What's next?", op.cit.

The ascent to fame brought a barrage of controversies for one of India's most prominent fintech company when the RBI issued a directive to halt most operations and restricted fund additions to PPB accounts, wallets, and FASTags citing "persistent non-compliance and continued material supervisory concerns."³⁹ This crisis presented an existential threat to PPB, leading to a thorough investigation into the factors that contributed to the decline in the momentum.⁴⁰

Downfall of PPB: What Went Wrong?

Following the launch of PPB bank, Sharma faced a series of regulatory frictions, serving as cautionary tale.⁴¹ Things seemed promising after it snagged a banking license, but trouble started brewing swiftly as within a year the bank found itself on the wrong side of the regulators. Violations of licensing norms, particularly regarding account fund limits and failure to monitor suspicious account activity, flouting Know Your Customer (KYC) guidelines led the RBI to slap the bank with its first regulatory strike in June 2018, temporarily halting the opening of new accounts.^{42,43} Sharma prefaced his response, recalling, "In 2018, there was no fine imposed and we ironed out the issues within months....whether this new issue is linked to that, I cannot comment because I do not remember what that issue was exactly about."⁴⁴

Challenges continued to mount. In July 2021, PPB faced another setback as RBI issued a show-cause notice for furnishing false information regarding an operational unit transfer from OCL to PPB. Upon uncovering this, RBI imposed a fine of ₹10 million for 'contravening the Payment and Settlement Systems Act' of 2007.⁴⁵ RBI notified, "On examination of PPBL's application for issue of final Certificate of Authorisation (CoA), it was observed that PPBL had submitted information which did not reflect the factual position... RBI determined that the aforementioned charge was substantiated and warranted the imposition of a monetary penalty."

In late 2021, investigations unearthed 'lapses in technology, cybersecurity, and KYC/Anti Money Laundering (AML) compliance'. RBI found no separation in servers or physical space between the bank and other One97 group entities. This led RBI to impose supervisory restrictions on PPB in March 2022, halting new customer onboarding and mandating a comprehensive system audit by an external firm. RBI stated, "Reserve Bank of India has today, in exercise of its powers, inter alia, under section 35A of the Banking Regulation Act, 1949, directed Paytm Payments Bank Ltd to stop, with immediate effect, onboarding of new customers. The bank has also been directed to appoint an IT audit firm to conduct a comprehensive system audit of its IT system. Onboarding of new customers by Paytm

³⁹ Sahu Prasanta, "RBI rules out review of action taken against Paytm Payments Bank", <https://www.financialexpress.com/business/banking-finance-rbi-governor-says-hardly-any-room-to-review-action-taken-against-paytm-payments-bank-3391922/>, February 13th 2024

⁴⁰ "Paytm bank is in a state of suspended animation. So, What's next?", op.cit.

⁴¹ Mukherji Mitali, "What broke Paytm?", <https://frontline.thehindu.com/economy/india-fintech-vijay-shekharsharma-paytm-crisis-highlights-regulatory-issues-industry-challenges/article67845110.ece>, February 14th 2024

⁴² Singh Ritu, "RBI's crackdown on Paytm Payments Bank: The inside story", <https://www.cnbctv18.com/finance/paytm-payments-bank-rbi-crackdown-the-inside-story-18970171.htm>, February 5th 2024

⁴³ "What broke Paytm?", op.cit.

⁴⁴ Robello Joel and Mishra Digbijay, "RBI to lay out IT audit guidelines for Paytm Payments Bank", <https://economictimes.indiatimes.com/tech/startups/rbi-punished-paytm-payments-bank-for-sharing-data-with-china-firm-report/articleshow/90201281.cms?from=mdr>, March 16th 2022

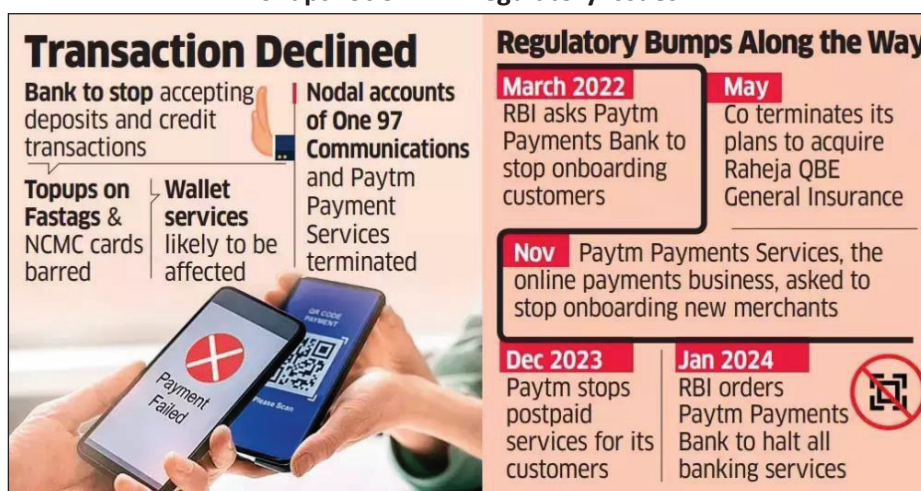
⁴⁵ Dalal Sucheta, "The Paytm Controversy and Fin-tech Complaints about Over-regulation", <https://www.moneylife.in/article/the-paytm-controversy-and-fintech-complaints-about-overregulation/73476.html>, February 23rd 2024

Payments Bank Ltd will be subject to specific permission to be granted by RBI after reviewing report of the IT auditors. This action is based on certain material supervisory concerns observed in the bank.”

Following the system auditor’s report in late 2022, the regulators noted a lack of significant corrective action by the bank and imposed a ₹53.9 million penalties in October 2023, marking the ‘fourth strike against PPB’. The regulator pointed out shortcomings in identifying beneficial owners, overseeing payout transactions, exceeding regulatory limits, tardy reporting of cybersecurity incidents, and deficiencies in the video-based customer identification process (V-CIP), among other issues.⁴⁶

The final severe strike happened on January 31st 2024, when RBI delivered an unprecedented blow to PPB by ordering a complete cessation of all banking activities due to persistent compliance issues and supervisory concerns.⁴⁷ (**Exhibit IV**). Amidst the chaos, Sharma addressed employees stating, “We are not completely sure of things... like what exactly went wrong. But we will figure out everything soon. We will reach out to the RBI to see what can be done. Company will focus on being extremely compliant moving forward.”⁴⁸ He further clarified that the restrictions had an impact on PPB’s lending arm, not Paytm itself stated,⁴⁹ “We assure our users and merchant partners that the Paytm app remains fully operational, and our services remain unaffected.”⁵⁰

Exhibit IV
Snapshot of PPB Regulatory Issues



Source: “Paytm Payments Bank told to halt services by February-end”, <https://economictimes.indiatimes.com/tech/startups/rbi-bars-paytm-from-offering-banking-services-effective-february-29/articleshow/107294538.cms?from=mdr>, February 2nd 2024

As per the rules, payments banks were prohibited from lending and could solely accept deposits up to ₹0.2 million. While RBI’s provisional data for December 2023 suggested that the

⁴⁶ “RBI’s crackdown on Paytm Payments Bank: The inside story”, op.cit.

⁴⁷ “Why RBI Banned Paytm Payments Bank And What It Means For Paytm's Future?”, <https://business.outlookindia.com/corporate/why-rbi-banned-paytm-payments-bank-and-what-it-means-for-paytms-future>, February 5th 2024

⁴⁸ “What broke Paytm?”, op.cit.

⁴⁹ “Why RBI Banned Paytm Payments Bank And What It Means For Paytm's Future?”, op.cit.

⁵⁰ Kawale Ajinkya and Varier Aathira, “Regulatory action on Paytm Payments Bank, not app, clarifies RBI”, https://www.business-standard.com/companies/news/paytm-payments-bank-not-app-impacted-by-regulatory-action-rbi-124020801641_1.html, February 9th 2024

transactions through Paytm Wallet amounted to 247.2 million, totalling over ₹80 billion for purchases, and 20.7 million transactions transferring over ₹59 billion.⁵¹ Sources revealed that PPBL had millions of non-KYC compliant accounts and in thousands of cases single PANs were used for opening several accounts. There were examples of the total value of transactions -- running into billions of rupees, 'much beyond regulatory limits in minimum KYC pre-paid instruments raising money laundering concerns', sources said.⁵²

Source privy to the information revealed, "The regulator also found an unusually high number of dormant accounts which are prone to have been used as mule accounts. Out of about 35 crore wallet accounts Paytm maintains, RBI found as many as 31 crores being inoperative. There were also concerns relating to money laundering arising from deficiencies in the KYC processes and lack of transaction monitoring system of the bank. In lakhs of cases, for instance, the accounts and wallets were found to have been frozen by various law enforcement authorities across the country, as such accounts were used for committing digital frauds."⁵³

According to an anonymous source, "The payments bank did not plug the gaps in the system even after repeated relevant references by the regulator. There were consistent deficiencies found in the bank's KYC process, like accounts that needed a full KYC were not done. Data from the payments bank was also flowing to the wallet operator, which was not quite a watertight compartment and against central bank rules. All in all, compliance was either pending, or unsatisfactory." Though Sharma denied allegations of data sharing asserting, "I want to inform and confirm that in various observations RBI has shared with Paytm Payments Bank, there is absolutely no reference to any data sharing or servers being outside or data sharing with any unauthorised personnel national or international--any country whatsoever."⁵⁴

Exacerbating the severity of the situation, RBI highlighted that PPB breached licensing conditions by intertwining its financial and non-financial operations with its promoter group entities. Moreover, PPB's reliance on the IT infrastructure of its parent company OCL raised significant concerns regarding data privacy and sharing. The source stated, "PPBL's dependence on the IT infrastructure of OCL remained absolute and there was no operational segregation. Many transactions were routed through the parent entity-owned apps."

The promoters' lack of transparency compounded the regulator's concerns regarding PPB. Source stated, "On several occasions, the compliance submitted by the bank was found to be false upon verification, both by the RBI supervisors and external auditors. Agreements were often being revised to benefit the OCL or its group companies, and apparently detrimental to the bank and its clients." The other source added, "Paytm Bank is dealing in public money. The RBI action is to prevent the payment bank being run in a manner detrimental to the interest of its depositors, customers and other genuine stakeholders."⁵⁵

RBI's Governor Shaktikanta Das stated, "We give sufficient time to every regulated entity ... to comply with the regulatory requirements. Deficiencies in compliance are discussed bilaterally and companies are nudged to take corrective action. When such constructive engagement does not work or when the regulated entity doesn't take effective action, we go for imposing

⁵¹ Aggarwal Raghav, "Paytm Payments Bank and RBI ban: What went wrong and the story so far", https://www.business-standard.com/companies/news/paytm-payments-bank-and-rbi-ban-what-went-wrong-and-the-story-so-far-124020600228_1.html, February 6th 2024

⁵² "Paytm Payments Bank: The controversies and challenges ahead for India's fintech poster boy", op.cit.

⁵³ "RBI's crackdown on Paytm Payments Bank: The inside story", op.cit.

⁵⁴ "RBI to lay out IT audit guidelines for Paytm Payments Bank",

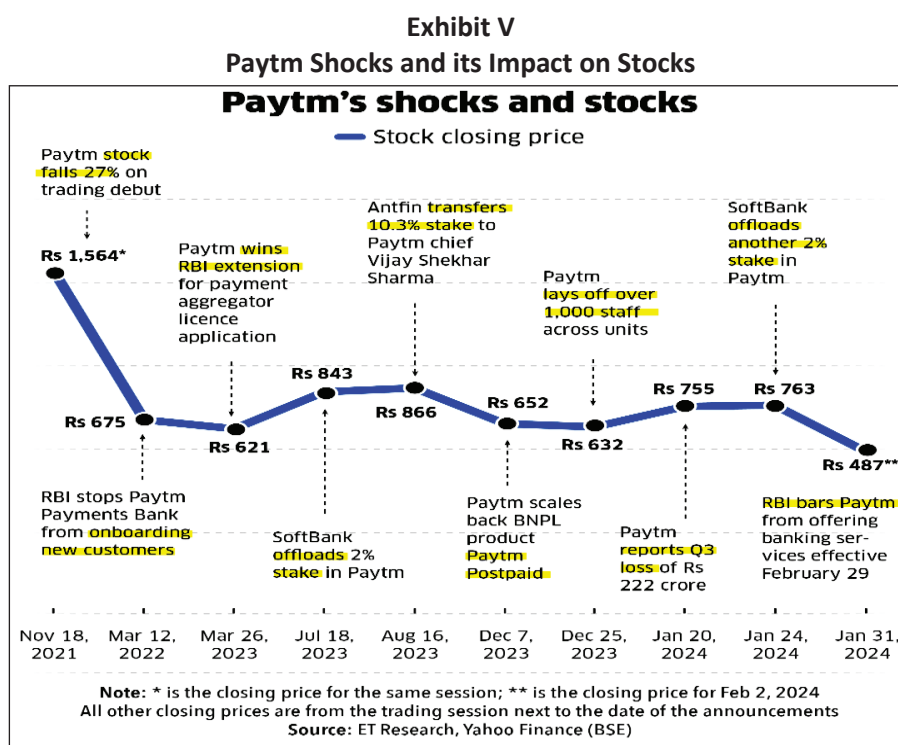
⁵⁵ "RBI's crackdown on Paytm Payments Bank: The inside story", op.cit.

supervisory or business restrictions. The RBI is a 'responsible regulator' and would not have acted if all regulatory norms were complied with."⁵⁶ Further, RBI Deputy Governor Swaminathan Janakiraman asserted, "As a regulator, it is incumbent upon us to protect the interests of the ultimate consumer, and protect the stability of the financial system."⁵⁷

Paytm and its management vehemently denied any wrongdoing.⁵⁸ "It is not true that we did not act on RBI notices. We pushed for and made changes that RBI wanted the board to do, but our action was perhaps delayed," stated former board member. Another board member added, "In 2021, RBI spoke to the board on the need to ensure compliance and build a culture of reporting and governance. In my experience, over the next two years, we did many changes."⁵⁹

Impact on Paytm's Business

Paytm's EBITDA was expected to be impacted by ₹3 to ₹5 billion annually, braced for turbulent times ahead.⁶⁰ The company's stock plummeted nearly 20% witnessing one of the biggest falls since the company listed.⁶¹ Between the period of January 31st and February 24th 2024, the stock declined by 53% accounting a loss of \$3.08 billion in shareholders' wealth.⁶² (Exhibit V).



Source: "Paytm crisis: Read our top stories on RBI action and its implications on fintech ecosystem", <https://economictimes.indiatimes.com/tech/technology/paytm-saga-top-stories-to-read-on-rbis-punitive-action-and-its-implications/articleshow/107379961.cms?from=mdr>, February 5th 2024

⁵⁶ "India c.bank clampdown on Paytm Payments Bank followed persistent non-compliance", <https://www.reuters.com/world/india/cbanks-regulatory-action-paytm-payments-bank-due-persistent-non-compliance-2024-02-08/>, February 8th 2024

⁵⁷ "Regulatory action on Paytm Payments Bank, not app, clarifies RBI", op.cit.

⁵⁸ "What broke Paytm?", op.cit.

⁵⁹ "Paytm bank is in a state of suspended animation. So, What's next?", op.cit.

⁶⁰ "Why RBI Banned Paytm Payments Bank And What It Means For Paytm's Future?", op.cit.

⁶¹ "Paytm bank is in a state of suspended animation. So, What's next?", op.cit.

⁶² Jain Deep Milan, "Paytm Saga: Unraveling the Rise, Regulatory Challenges, and Future Prospects", <https://www.linkedin.com/pulse/paytm-saga-unraveling-rise-regulatory-challenges-future-jain-beqnc/>, February 24th 2024

Ambareesh Baliga, an Independent Equity Analyst commented, “It will be difficult for Paytm to be where it was a couple of months ago, since competitors are getting aggressive and merchants might be looking to shift out of the Paytm platform. People have seen banks going down in the past, and they might have their own fears due to uncertainty around the payments bank. There may be some bounce-back, but I don't think it will be considered an investment-grade stock, since whatever has happened points to the issue of corporate governance.”⁶³

The constraints on PPB might have ramifications for Paytm's operations since the bank played a pivotal role in its banking services. PPB held the deposited funds from Paytm's wallets, overseeing all 330 million wallet accounts. Consequently, any setback faced by the payments bank directly influenced Paytm's broader operations.⁶⁴ Analysts anticipated potential impacts on company's lending business following the restrictions, given its reliance on partnerships for loan distribution. Paytm partnered with lenders for loans, managing underwriting while earning commissions. The company's annual report revealed a substantial surge in loan disbursements through its platform in 2022-23, reaching ₹355.78 billion compared to ₹76.23 billion the previous year.⁶⁵ Pointing out that RBI's action could have repercussions over Paytm's other venture, analysts at Macquarie Capital (Macquarie) stated, “The bigger issue is that Paytm has not been on the good books of the regulator and going forward, their lending partners also could possibly relook at the relationships.”⁶⁶

Analysts at UBS Securities India anticipated that some erosion would take place in its merchant base of 39.3 million, as they stated, “We expect 15-20% churn in merchants, customers and devices in Q4 over Q3 levels, along with a 60% QoQ (quarter-on-quarter) decline in loan origination. Paytm will likely experience near-term financial impact on its business along with some permanent loss of business in FY25.” A Fintech Expert, Parijat Garg opined, “Retail customers might be easier to retain. They might simply move their payments to other apps like GPay or PhonePe without deleting the Paytm app because of some other services the app offers. However, other players are aggressively targeting the merchant ecosystem and if Paytm is able to limit the loss of merchants, they will be able to sail through this crisis.” He further added, “If Paytm loses merchants, it will also lose access to their transaction data. This, in turn, would be detrimental in assessing the eligibility of these business for loans. The loans to merchants would also have a higher ticket size as compared to consumers. Merchant loans are more recurring in nature whereas consumers have significantly more choices to borrow from.”⁶⁷

The Way Forward

The analysts at Jefferies Financial Group Inc., Jayant Kharote and Prakhar Sharma believed, “Without a banking license, Paytm's business model will now become similar to pure payment service providers. Paytm's focus will now move to ensuring customer retention, and we believe it will dip into its 85 billion rupees (\$1 billion) cash reserves for spends on retaining users.”⁶⁸

⁶³ “Regulatory action on Paytm Payments Bank, not app, clarifies RBI”, op.cit.

⁶⁴ “What broke Paytm?”, op.cit.

⁶⁵ “Paytm bank is in a state of suspended animation. So, What's next?”, op.cit.

⁶⁶ “What broke Paytm?”, op.cit.

⁶⁷ “Paytm bank is in a state of suspended animation. So, What's next?”, op.cit.

⁶⁸ “Jefferies Financial stops coverage on Paytm until regulatory issues ease”, https://www.business-standard.com/companies/news/jefferies-financial-stops-coverage-on-paytm-until-regulatory-issues-ease-124021900190_1.html, February 19th 2024

A week after the RBI's actions, Paytm took to its YouTube channel to reassure its merchant community. In a video titled 'Paytm for Business', merchants shared their positive experiences, affirming, "Paytm's merchant community unites! Here's what they have to say about our uninterrupted services." A merchant in a video said, "The decision taken by RBI in the Paytm issue has not impacted us--customers as well as those who accept such payments."⁶⁹

Reflecting on Paytm's trajectory, Rajrishi Singhal⁷⁰ (Singhal) pointed out, "Paytm's fall comes from a growth-at-all-costs model common to startups. Paytm had been pushing the envelope aggressively, and that harks back to its initial formation as a startup where your top line matters more than what you're delivering in terms of margins or profits. Paytm was a little dismissive of the regulatory framework." While commenting on the options left with Sharma, Singhal said, "If he wants to keep the Paytm brand alive, he'll have to survive only as a Unified Payments Interface [India's nationwide system for instant payments], because he can't stay as a wallet or as a bank."⁷¹

Following a roadshow conducted by Macquarie in the US with 30 investors, sentiments were echoed regarding Paytm's uncertain regulatory environment. Macquarie stated, "A majority of the investors felt that there was no point catching a falling knife. These investors want the dust around regulatory uncertainty to settle completely. For Paytm and Sharma, gaining back the trust—the of the investors, RBI, lending partners, merchant and customers—is likely to be long haul."⁷²

Emphasising on the critical role of independent directors in ensuring process integrity and responsible communication with regulators, Amit Tandon⁷³, stated, "The independent directors should now ensure there are no further slip-ups in processes. Otherwise the customers will be left high and dry. The board should ensure the company's management provided enough and accurate information, and that was shared with the regulators responsibly. Independent directors are responsible for strategy on one level, and for the governance framework and associated processes on another. They should check how the framework is being implemented."⁷⁴

Ritu Singh⁷⁵ pondered, "Needless to say, tough days are ahead for the fintech giant. Paytm's once-celebrated status in India's digital payment space now hangs in the balance, as founder Vijay Shekhar Sharma navigates a critical period that will determine the company's future and its ability to reclaim its position as the poster-child of India's digital payments story."⁷⁶

A former RBI Executive offered insight, stating, "RBI did not want to take any precipitative action at that time. Why? Because it was a new bank and was backed by a startup. There was a belief that getting used to tougher financial regulations takes time."⁷⁷ This prompted financial

⁶⁹ "Paytm bank is in a state of suspended animation. So, What's next?", op.cit.

⁷⁰ He is a former Executive Editor of the Indian newspaper *The Economic Times* and Author of 'Slip, Stitch & Stumble: The Untold Story of India's Financial Sector Reforms'.

⁷¹ "The rise and stunning fall of Paytm, which once had India's largest IPO but is now the target of a central bank crackdown that could kill its business", op.cit.

⁷² "Paytm bank is in a state of suspended animation. So, What's next?", op.cit.

⁷³ He is a Founder & Managing Director of proxy advisory firm Institutional Investor Advisory Services India (IIAS).

⁷⁴ "Regulatory action on Paytm Payments Bank, not app, clarifies RBI", op.cit.

⁷⁵ An Associate Editor and Anchor with *CNBC TV 18*.

⁷⁶ "RBI's crackdown on Paytm Payments Bank: The inside story", op.cit.

⁷⁷ "Paytm bank is in a state of suspended animation. So, What's next?", op.cit.

experts such as Mitali Mukherjee⁷⁸ to question, “In its zeal to push financial inclusion with the magic wand of technological solutions, did the central bank fail to set up enough checks and balances for such payments banks? How would depositors and users be safeguarded? Were there clear stipulations on what constituted unacceptable behaviour by payments banks? Where is the PPBL board in all of this?”⁷⁹

⁷⁸ She is the Director of the Journalist Programmes at the Reuters Institute for the Study of Journalism, University of Oxford.

⁷⁹ “What broke Paytm?”, op.cit.